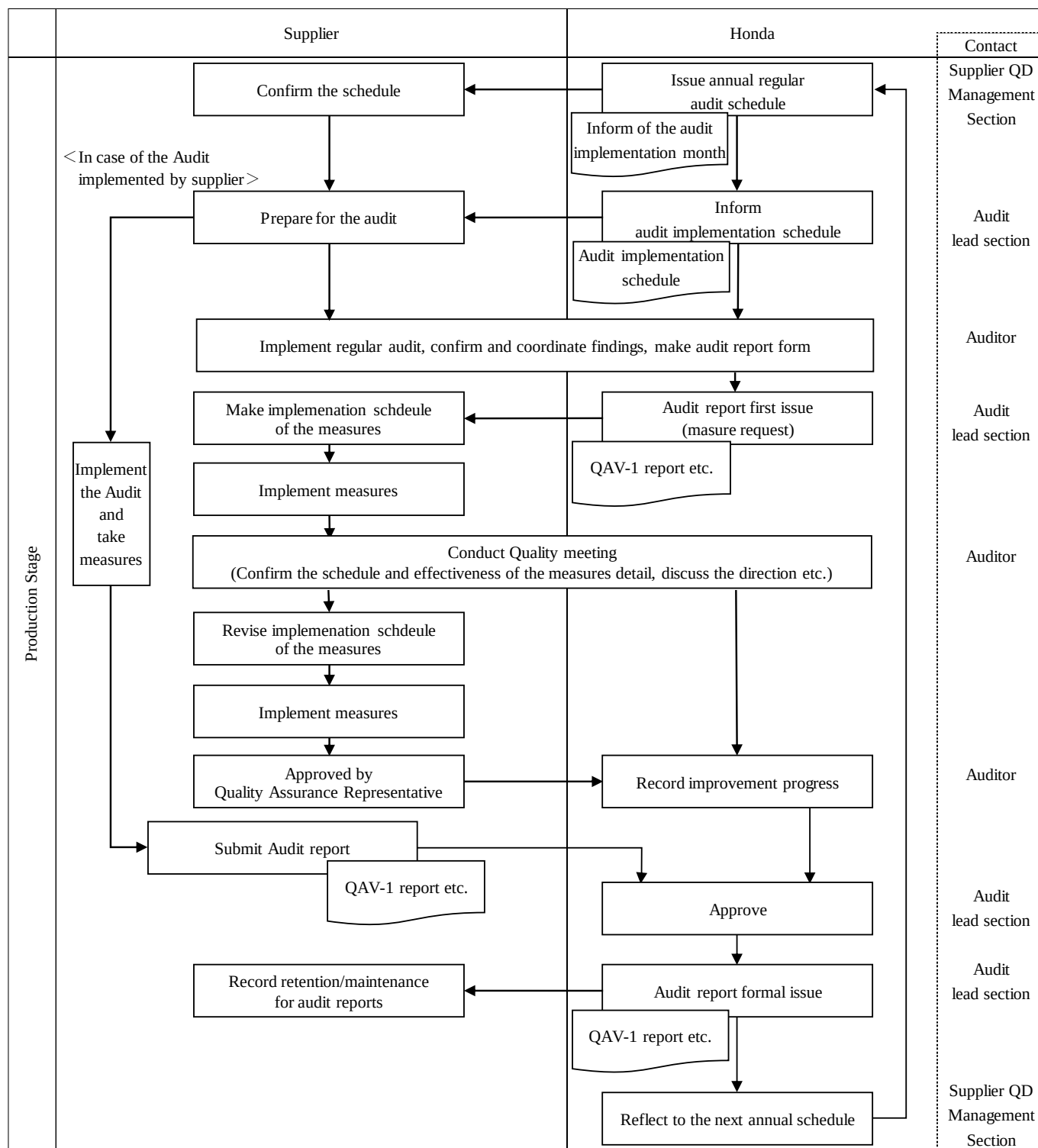


Supplier Quality Audit procedure

Process 1	Regular audit (QAV-1)	Personnel resource	Quality Assurance Representative
		Material resource	No designation
INPUT			
Honda selects suppliers that meet the following for regular audit (QAV-1) among the suppliers with which Honda has entered into the General Agreement for Purchase of Parts. a) Suppliers produce important safety parts b) Other suppliers for which Honda deems a quality audit is necessary Honda shall conduct regular audits (QAV-1), in principle, at least once every two years, to verify the quality system of a supplier and the status of implementation. In addition, the audit frequency may be adjusted in accordance with the discretion of Honda taking into consideration the supplier's status for quality. The scope of audit shall include all aspects of the quality system. The review points shall include followings. 1) Business Policy and Organization 2) Quality System 3) Spec and Design Control 4) Control of Standards 5) Supplier Control 6) Parts Control 7) Processes Control 8) Manufacturing Equipment Control 9) Final Inspection and Reliability Test 10) Inspection Devices Control 11) Trouble Countermeasure and Deviation Acceptance 12) Internal Quality Audit 13) Quality Education and Training 14) Compliance to the SQM requirements: review through the assessment of above 1)-13) areas The suppliers shall perform the following items when required regular audits by Honda, but are not limited to the following: c) Select supplier in-house visitors from its own employees and have them participate in a regular audit d) Formulate an improvement plan based on the audit report issued by Honda e) Approval of the improvement plan by the responsible person designated by the supplier f) Submit improvement plan to Honda by the specified date g) Revise improvement plan when Honda request the change h) Attend a quality conference based on Honda request and confirm the effectiveness of the results of measures			
Process 2	Occasional audit (QAV-2)	Personnel resource	Quality Assurance Representative, or Facility Quality Representative
		Material resource	No designation
INPUT			
A supplier subject to occasional audit (QAV-2) audit shall be selected from among those with whom Honda has entered into the General Agreement for Purchase of Parts and if the following apply and Honda deems it necessary, but are not limited to the following: a) At occurrence of serious problem which is attributable to the supplier b) When a new manufacturing process is used for the production of new models or new derivatives, etc. c) When establishing new business relationships with Honda d) When the need to check the quality control status of the manufacturing process, etc. Based on the findings of occasional audits conducted by Honda, the suppliers shall implement following items, but are not limited to the following: e) Formulate an improvement plan based on the audit report issued by Honda f) Approval of improvement plan by the responsible person as designated by the supplier g) Submit improvement plan to Honda by the specified date h) Revise improvement plan when Honda request the change i) When required by Honda, confirm completion of countermeasures and record results of confirmation			

In addition to the above requirements, the suppliers who deliver products to the following locations shall meet the location-specific requirements.

Honda manufacturing location	Location-specific requirements
<u>Honda Motor Co., Ltd</u> <u>Four-wheeled vehicle manufacturing and parts plant</u>	<u>If requested by Honda, the suppliers shall conduct preliminary verification of QAV-2 based on the form issued by Honda and submit the result.</u>



Flowchart Occasional audit (QAV-2)

